

BRIAN MORMAN

Marketing and Consumer Focus - Case write-up - Wrigley Eclipse

What are the potential problems with Eclipse gum at the time of the case?

Chibe and his team investigated several potential problems:

- 1) Is the distribution mix by store type correct?
- 2) Is the creative plan working? Is the smoking commercial creating an aversion to the brand? Is the “strong mouth odor” strategy creating an aversion?
- 3) Are they spending the right amount on the media strategy?
- 4) Is the media plan successfully converting customers into loyal users.
- 5) Is the product itself a winner in the market?

For each of the potential problems that you outlined, what information would enable you to verify that it was the reason for Eclipse’s underperformance?

- 1) The ACV% data given in Figure 5B shows us a clear picture that Eclipse does not perform well in convenience stores. This makes sense given the pre-pricing strategy Eclipse uses. Convenience stores are less incentivized to sell Eclipse gum given the lower margin passed onto them. The point-of-sale customer is less interested in shelving and selling the product than its competition. This is one potential part of the problem.

- 2) The positioning of the brand from Table 8 shows the media strategy is convincing customers that Eclipse is the best at eliminating strong odors, but it would be helpful to know what factors drive customers to buy gum. Is that factor a high or low contributor in the decision to buy? It's possible the smoking commercial does create an aversion in my opinion but possibly some focus group testing could understand that?
- 3) The company is spending enough in media but its hard to tell if its working. I wonder how much value the commercial holds for this kind of product and how much the packaging matters. Figure 3 shows how each brand is presented all in one big wall at the point of sale. Ultimately, I think the packaging will play a very significant factor in the point of purchase decision.
- 4) I would like to see how other brands compare in their conversion ratios. The data from table 13 has little context without a competitive landscape to compare too.
- 5) Table 6 tells us that the product may not be living up to its brand promise. In the blind taste test, the eclipse product lost out to Dentyne by a statistically significant measure. Table 14 shows us that Eclipse Polar ice wins out drastically when compared to Dentyne. This table makes me question if the product itself is the problem. It appears to me that the marketing strategy does not align with the product's actual strength. People do appear to prefer the Eclipse product, but the media campaign emphasizes the wrong factor for that success.